

25NNCV02703 25NNCV02703

County: los-angeles

Division: Civil Law and Motion

Department: 3

Hearing date: 2026-07-06

Motion: DEFENDANTS LIBERTY'S MOTORS AND JACK KHAROUFEH'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT AND MOTION TO STRIKE

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Case Number: 25NNCV02703 Hearing Date: July 6, 2026 Dept: 3

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHEAST
DISTRICT

CANDACE THOMPSON,

Plaintiff(s),

vs.

LIBERTY'S
MOTORS, et al.,

Defendant(s).

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CASE NO.: 25NNCV02703

[TENTATIVE]

ORDER RE: DEFENDANTS LIBERTY'S MOTORS AND JACK KHAROUFEH'S DEMURRER TO
PLAINTIFF'S FIRST AMENDED COMPLAINT AND MOTION TO STRIKE

Dept.

3

8:30

a.m.

July 6,

2026

I. INTRODUCTION

On April 21,

2025, plaintiff Candace Thompson ("Plaintiff") filed this action against
defendants Liberty's Motors ("Liberty"), Jack Kharoufeh ("Kharoufeh") and Frank
Cota ("Cota").

After the

Court sustained the demurrer filed by Liberty and Karoufeh (collectively,
"Defendants"), Plaintiff filed the operative First Amended Complaint on November
17, 2025. Plaintiff asserts causes of action for general negligence in addition
to assault and battery. Plaintiff also requests exemplary damages.

On

December 9, 2026, Defendants filed this demurrer and motion to strike.

Defendants argue that Plaintiff's Complaint fails to state facts sufficient to constitute a cause of action against them and is uncertain. Defendants also move to strike Plaintiff's requests for punitive and exemplary damages as well as Plaintiff's Exemplary Damages Attachment.

On

March 2, 2026, Plaintiff filed a combined opposition brief.

Defendants

filed a reply brief on March 6, 2026.

II. LEGAL STANDARDS

A.

Demurrer

A demurrer tests the legal sufficiency

of the pleadings and will be sustained only where the pleading is defective on its face. (*City of Atascadero v. Merrill*

Lynch, Pierce, Fenner & Smith, Inc. (1998) 68 Cal.App.4th 445, 459.)

"We treat the demurrer as admitting all material facts properly pleaded but not contentions, deductions or conclusions of fact or law. We accept the factual allegations of the complaint as true and also consider matters which may be judicially noticed. [Citation.]" (*Mitchell*

v. California Department of Public Health (2016) 1 Cal.App.5th 1000, 1007; *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604 ["the facts alleged in the pleading are deemed to be true, however improbable they may be"].) Allegations are to be liberally construed. (Code Civ. Proc., § 452.) In construing the allegations, the court is to give effect to specific factual allegations that may modify or limit inconsistent general or conclusory allegations. (*Financial Corporation of America v. Wilburn* (1987) 189 Cal.App.3d 764, 769.)

A demurrer may be brought if

insufficient facts are stated to support the cause of action asserted. (Code

Civ. Proc., § 430.10, subd. (e).) "A demurrer for uncertainty is strictly

construed, even where a complaint is in some respects uncertain, because ambiguities

can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.) A demurrer for uncertainty will be sustained only where the complaint is so bad that the defendant cannot reasonably respond. (Code Civ. Proc., § 430.10, subd. (f).)

Where the complaint contains substantial factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty will be overruled or plaintiff will be given leave to amend. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.)

B.

Motion
to Strike

Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1).) The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a); Stafford v. Shultz (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].) The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

III. DISCUSSION

A.

Demurrer

The Court sustained Defendant’s demurrer to Plaintiff’s initial Complaint on the grounds that Plaintiff did not

identify any negligent act or omission by Defendants or any connection between them. Plaintiff has since remedied that deficiency by alleging, in greater detail, that Defendants are liable for negligence by negligently hiring, supervising, training, and retaining Cota. Plaintiff alleges that “repossessions involve inherent risks of confrontation and danger” and that Defendants did not provide “adequate training in safe repossession practices, de-escalation, or safe vehicle operation”, “implement or enforce procedures requiring agents to disengage when a debtor approaches or enters a vehicle,” supervise Cota despite exercising managerial control over repossessions; establish policies ensuring compliance with California Commercial Code § 9609(b)(2) which requires a repossession-to be conducted without breach of the peace, as well as other statutes/regulations. Plaintiff also alleges that Defendants failed to discipline or terminate Cota, thereby ratifying his misconduct.

Defendants argue that Plaintiff’s FAC does not plead a theory of direct liability for negligence because there are no factual allegations that they knew or should have known, prior to the incident, that Cota had a propensity to commit violent acts against vehicle owners during repossessions. However, a claim for negligent hiring, supervising, or retaining an employee can be based on constructive knowledge and Defendants provide no authority for their claim that Plaintiff is required to plead specific facts involving Defendants’ prior knowledge of Cota’s propensities for misconduct. (*Juarez v. San Bernardino City Unified School Dist.* (2024) 106 Cal.App.5th 1213, 1228.) Furthermore, it is “impracticable” to require a plaintiff to plead such acts before undertaking discovery and therefore, unnecessary to survive a demurrer. (*Id.* [citing *C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 866].)

Defendants also argue that they cannot be held vicariously liable for Cota’s actions because Cota’s actions were not foreseeable or authorized by Defendants such that it could be considered within the course and scope of employment. Defendants argue that the risk of assault and battery is not typical of or broadly incidental to the business of an auto dealership performing repossessions but repossession work is inherently confrontational and, as Defendants state in a footnote, Kharoufeh previously contacted Plaintiff multiple times, with Plaintiff “[advising] that she was unable to make payments, but that she wanted to keep her car.” (Demurrer, p. 5, n. 1.) These previous exchanges suggest that any repossession efforts would not be well-received (if they ever are). Here, Cota injured Plaintiff with the vehicle he was tasked with repossessing, in the course of its repossession. The Court

cannot conclude that Plaintiff's physical injury was an unforeseeable consequence of Defendants' business and that Cota's conduct was outside the scope of his employment.

Defendants also argue that they cannot be directly liable for assault and battery because they did not authorize Cota to commit an assault or battery and Plaintiff's allegations of ratification are insufficient. (Demurrer, p. 17.) First, the question of ratification is generally one of fact (C.R. v. Tenet Healthcare Corp. (2009) 169 Cal.App.4th 1094, 1110-1111 [failure to discharge employee may be evidence of ratification].) Here, Plaintiff alleges that Defendants ratified Cota's assault and battery because after learning of Plaintiff's injuries, they accepted the benefits of the repossession, confirmed to the police that Cota was authorized to repossess the vehicle, and failed to discipline, retrain, or repudiate Cota's actions. Together, these actions, if proven true, could lead to a reasonable conclusion that Defendants ratified Cota's tortious conduct.

In sum, Defendants' demurrer to the FAC is OVERRULED.

B.

Motion
to Strike

Defendants move to strike Plaintiff's claim for punitive damages as well as the police report attached to the FAC as Exhibit 1.

Defendants argue that Plaintiff fails to allege any ultimate facts demonstrating that Defendants engaged in malice, oppression, or fraud as required by Civil Code § 3294. Defendants contend that Plaintiff do not allege that they had "advance knowledge" of Cota's unfitness with the requisite specificity, nor does Plaintiff adequately allege that they ratified Cota's actions.

An employer can be liable for punitive damages based upon the acts of an employee if the employer ratifies the employee's wrongful conduct and, in the case of corporate employers, the ratification was on the part of an officer, director, or managing agent of the corporation. (Civ. Code, § 3294.) Here, Defendants admit that the FAC's allegations

requesting punitive damages against Cota may be proper. Plaintiff alleges that Kharoufeh was a co-owner, officer, and managing agent of Liberty who authorized the repossession of Plaintiff's vehicle and, after learning of Cota's actions, ratified Cota's conduct by confirming to Pasadena Police that Cota acted under Liberty's authorization and on its behalf, accepting and retaining the benefits of the repossession despite knowing Plaintiff had been seriously injured, failing to discipline, train, reprimand, or terminate Cota, failing to adopt, modify, or enforce any safety protocols following the incident; and continuing to employ or dispatch Cota thereafter. Therefore, Plaintiff sufficiently pleads a basis for punitive damages.

As for the Police Report attached as Exhibit 1 to the Complaint, Defendants argue that it should be stricken as inadmissible evidence. A motion to strike is used to remove "irrelevant, false, or improper matter" in a pleading or parts of a plead "not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) Although Defendants argue that the report is inadmissible as hearsay and opinion evidence, and therefore irrelevant, the report is subject to various hearsay exceptions, including the official records exception and an admission by a party opponent. (Evid. Code, §§ 1220, 1280; *Jane IL Doe v. Brightstar Residential Inc.* (2022) 76 Cal.App.5th 171, 178-180.) The report is also not the type of accident report barred by Vehicle Code § 20013, which only applies to reports filed by drivers and passengers, not those made by investigating officers. (Vehicle Code, § 20012.) Accordingly, the motion to strike is DENIED.

IV. CONCLUSION

Defendants' demurrer to the FAC is OVERRULED.

Defendants' motion to strike is DENIED.

Defendants are ordered to file an answer within 20 days.

Plaintiff to give notice.

Dated
this 6th
day of July

2026

William A. Crowfoot

Judge of the Superior Court

Parties who intend to submit on this

tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court may, at its discretion, adopt the tentative as the final order or place the motion off calendar.